

accessible financial system for the world. For example, applications like stablecoins are some of the most valuable innovations to come out of DeFi so far. They allow anyone in the world to benefit from the censorship resistance, self-sovereignty, and instant global accessibility of cryptocurrency while having the purchasing power stability of the dollar—or, if the dollar ever stops being stable, they enable people to quickly move their funds into another asset that does a better job of maintaining stability.

So why is DeFi important? Financial censorship continues to be a problem for marginalized groups, with restrictions and imposed hardships often going far beyond what is actually required by any law. This is doubly true once we start looking beyond the relatively safe bubble of developed countries. DeFi greatly reduces the cost of experimentation, making it much easier to build a new application, and smart contracts with verifiable open-source code greatly reduce the barrier of needing to trust the founding team to manage funds. DeFi offers “composability,” allowing new applications to easily and immediately interoperate with any other applications that already exist. These are serious improvements over the traditional financial system, and ones that I believe remain under-appreciated.

In the book *DeFi and The Future of Finance*, the authors discuss many of the additional improvements DeFi offers over the traditional financial system. The authors also explain the in-depth workings of many of the most important DeFi